

Beginner's Guide to Forex

Welcome to the world of Forex trading. This guide covers the essential concepts every beginner must understand before placing their first trade.

What is Forex?

Forex (Foreign Exchange) is the global marketplace for buying and selling currencies. Trades are made in pairs, such as EUR/USD, meaning you are buying Euros while simultaneously selling US Dollars.

Pips

A PIP (Percentage in Point) is the smallest price move that a given exchange rate makes based on market convention. For most pairs (like EUR/USD), a pip is the fourth decimal place (e.g., a move from 1.1050 to 1.1051 is 1 pip). For JPY pairs, it is the second decimal place.

Lots

Lot size refers to the volume or number of currency units you trade:

- **Standard Lot (1.00):** 100,000 units of currency (\$10 per pip on EUR/USD)
- **Mini Lot (0.10):** 10,000 units of currency (\$1 per pip)
- **Micro Lot (0.01):** 1,000 units of currency (\$0.10 per pip)

Leverage & Margin

Leverage allows you to control a large position with a smaller amount of capital. For example, 1:100 leverage means you can control \$100,000 with just \$1,000.

Margin is the amount of money required in your account to open and maintain that leveraged position. Always use leverage with caution, as it magnifies both profits and losses.